



ILLUSTRATION BY RAJ VERMA

What is legacy planning? It is a financial strategy to create wealth for the next generation. Legacy planning is crucial as it ensures that a person's wealth and possessions are transferred to their next of kin or organisations they name in a will after their death. Traditionally, the focus has primarily been on investing in real estate. There are other options now, but more on that later.

HERITAGE BUILDING



DEFINE YOUR GOALS:

Identify your goals for your legacy, whether it involves ensuring financial stability for your loved ones, contributing to charitable initiatives, or making a meaningful difference



DIVERSIFICATION:

Investing in property will broaden your asset base whereas investing in MFs will allow diversification within a single investment; consider both for your legacy



RISK AND RETURN:

MFs offer higher returns, albeit with increased risk; in contrast, property tends to carry lower risk and offers lower returns, but it can also generate rental income



LIQUIDITY:

Property is not as liquid as MFs; it takes longer to sell property; the location is of critical importance for the property



TAILORING YOUR LEGACY:

Your legacy is a reflection of your values. Tailor your investments to align with your goals